

Table HR: Insurance Channel Decomposition: Beta vs. Idiosyncratic Volatility (1980–2022)

	(1) H\&S (ext.)	(2) Beta only	(3) Idio only	(4) Both	(5) Both + ctrls
(Intercept)	0.900*** (0.214)	0.302 (0.242)	0.663*** (0.190)	0.937*** (0.238)	0.703*** (0.216)
FDI assets / GDP	-0.764*** (0.239)	-0.444 (0.307)	-0.790*** (0.244)	-0.592** (0.262)	-0.251 (0.228)
FDI liabilities / GDP	0.715*** (0.224)	0.430 (0.285)	0.739*** (0.228)	0.561** (0.244)	0.251 (0.211)
Output vol. (H\&S HP)	-29.063*** (4.922)				
Beta vs. world output		-0.573** (0.249)		-0.399* (0.214)	-0.176 (0.186)
Idiosyncratic volatility			-29.681*** (5.312)	-28.178*** (5.284)	-22.291*** (6.318)
Rule of Law					-0.244** (0.119)
OPEC dummy					-1.493*** (0.455)
HIPC dummy					0.717*** (0.269)
Num.Obs.	75	75	75	75	75
R2	0.384	0.145	0.362	0.392	0.601
R2 Adj.	0.357	0.108	0.335	0.357	0.559

Notes: *Beta vs. world output*: country-average 10-year rolling OLS of real GDP growth on world real GDP growth. *Idiosyncratic volatility*: average SD of residuals from the same regression. H&S's HP output volatility conflates both components. The insurance channel predicts a negative beta (low-beta countries sell insurance) and an insignificant idiosyncratic volatility. Variables winsorised at 1%. * p<0.10, ** p<0.05, *** p<0.01.